

CHAPTER 2

Sectors of the Indian Economy

NCERT Exercise Solutions

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Try each question yourself first, then check the answer. Answers are samples: write your own.

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Let's Work These Out · Sectors of Economic Activities

1 **Complete the above table (Table 2.1) to show how sectors are dependent on each other.**

Examples: (a) farmers refuse to sell sugarcane to a sugar mill; (b) companies import all cotton instead of buying from the Indian market; (c) price of fertilisers or pumpsets goes up; (d) transporters go on strike and lorries refuse to take vegetables, milk etc. from rural areas.

✔ ANSWER

Example	What does this show?
Farmers refuse to sell sugarcane; the mill shuts down	The secondary (industrial) sector depends on the primary sector.
Companies import all cotton; Indian cotton farmers lose	The primary sector depends on the secondary sector (industries) for buying its products.
Fertilisers or pumpsets become costlier; farmers' profits fall	The primary sector depends on the secondary sector for inputs.
Transport strike; food becomes scarce in towns, farmers cannot sell	The primary and secondary sectors depend on the tertiary sector (transport); people in industry and services depend on the primary sector for food.

So the three sectors are **interdependent**.

2 **Explain the difference between primary, secondary and tertiary sectors using examples other than those mentioned in the text.**

💡 SAMPLE ANSWER

- **Primary sector:** goods are produced by directly using natural resources. Example: growing wheat, catching fish, mining coal.
- **Secondary sector:** natural products are changed into other forms by manufacturing. Example: making flour from wheat, making furniture from wood, making steel from iron ore.
- **Tertiary sector:** activities that do not produce goods but give services that support the other two sectors. Example: a truck carrying furniture to a shop, a bank giving a loan, a mobile phone company, a teacher, a doctor.

3 **Classify the following occupations under primary, secondary and tertiary sectors:**
Tailor, basket weaver, flower cultivator, milk vendor, fishermen, priest, courier, workers in match factory, moneylender, gardener, potter, bee-keeper, astronaut, call centre employee.

✔ ANSWER

Primary	Secondary	Tertiary
Flower cultivator	Tailor	Milk vendor
Fishermen	Basket weaver	Priest
Gardener	Workers in match factory	Courier
Bee-keeper	Potter	Moneylender

		Astronaut
		Call centre employee

(A milk vendor only sells milk, so it is a service; producing milk would be primary.)

4 **Students in a school are often classified into primary and secondary or junior and senior. What is the criterion that is used? Do you think this is a useful classification? Discuss.**

💡 SAMPLE ANSWER

- **Criterion:** the class (level of study), which goes with the age of the students.
- **Useful:** yes. Students of the same level learn similar things, so syllabus, books, teachers, timetable and facilities can be planned for each group.
- It also helps in managing the school, for example, separate assemblies, sports and exams for juniors and seniors.

⭐ Let's Work These Out · Comparing the Three Sectors

1 **What does the history of developed countries indicate about the shifts that have taken place between sectors?**

✔ ANSWER

- At first, the **primary sector** was the most important in production and employment.

- When farming methods improved and new manufacturing methods came, factories grew and the **secondary sector** became the most important.
- In the past 100 years there has been a further shift from secondary to **tertiary sector**: services are now the biggest in production and employ most people.

2 **Correct and arrange the important aspects for calculating GDP from this jumble:**

"To count goods and services we add the numbers that are produced. We count all those that were produced in the last five years. Since we shouldn't leave out anything we add up all these goods and services."

✔ ANSWER

Corrected: To count goods and services we add up their **values**, not their numbers. We count only those produced **during a particular year**. We count only **final goods and services**, because the value of final goods already includes the value of the intermediate goods used in making them (counting them too would count the same thing many times).

So, GDP = value of all final goods and services produced within a country during a particular year.

3 **Discuss with your teacher how you could calculate the total value of a good or service by using the method of value added at each stage.**

💡 SAMPLE ANSWER

Add only the **value added** (extra value) at each stage of production. Using the book's example:

Stage	Sold for (Rs)	Value added (Rs)
Farmer sells wheat	20	20
Mill sells flour	25	25 − 20 = 5
Company sells biscuits (4 packets)	80	80 − 25 = 55
Total	—	20 + 5 + 55 = 80

The total value added (Rs 80) equals the value of the final good (biscuits). So there is no double counting.

(For simplicity, sugar and oil used by the biscuit company are not shown separately.)

⭐ Let's Work These Out · Graph 1: GVA by Primary, Secondary and Tertiary Sectors

1 **Which was the largest producing sector in 1977–78?**

✔ ANSWER

The **primary sector**.

2 **Which is the largest producing sector in 2017–18?**

✔ ANSWER

The **tertiary (service) sector**.

3 **Can you say which sector has grown the most over forty years?**

✔ ANSWER

The **tertiary sector** has grown the most (the book says production in the service sector rose about 14 times).

4 **What was the GDP of India in 2017–18?**

💡 SAMPLE ANSWER

From Graph 1, the total GVA in 2017–18 was about **Rs 1,20,00,000 crore** (about 120 lakh crore, at 2011–12 prices). (Read from the graph, so it is approximate.)

? **What does the comparison between 1977–78 and 2017–18 show? What conclusions can we draw from the comparison?**

✔ ANSWER

- Production in all three sectors has increased.
- It has increased the most in the tertiary sector.
- In 1977–78 the primary sector was the largest producer; by 2017–18 the tertiary sector replaced it as the largest producing sector.
- Conclusion: the importance of the service sector in India's economy has grown, while the share of the primary sector has gone down.

Let's Work These Out · Where are most of the people employed?

1 **Complete the table using the data given in Graphs 2 and 3 and answer the question that follows.**

Table 2.2 Share of primary sector in GDP and employment.

What are the changes that you observe in the primary sector over a span of forty years?

SAMPLE ANSWER

Primary sector	1977-78	2017-18
Share in Gross Value Added (GVA)	about 48%	about 19%
Share in employment	71%	44%

(GVA shares are read from Graph 2, so they are approximate.)

Changes: the share of the primary sector in GVA has fallen sharply (from about half to less than one-fifth), but its share in employment has fallen much less. It is still the largest employer. So many people still depend on agriculture though it produces a small part of the GVA (underemployment).

2 **Choose the correct answer: Underemployment occurs when people**

(i) do not want to work

(ii) are working in a lazy manner

(iii) are working less than what they are capable of doing

(iv) are not paid for their work

✔ ANSWER

(iii) are working less than what they are capable of doing. Everyone seems to be working, but each one works below his or her potential.

3 **Compare and contrast the changes in India with the pattern that was observed for developed countries. What kind of changes between sectors were desired but did not happen in India?**

✔ ANSWER

- **Developed countries:** the main sector shifted from primary to secondary and then to tertiary, both in production **and** in employment.
- **India:** in production, the tertiary sector has become the largest, replacing the primary sector (similar to developed countries).
- But in employment, a similar shift has not happened: the primary sector is still the largest employer (44% in 2017–18).
- **Desired but did not happen:** people should have moved out of agriculture into jobs in the secondary and tertiary sectors. This did not happen because not enough jobs were created there: industrial output went up more than nine times but employment only about three times; service production rose 14 times but employment only about five times.

4 **Why should we be worried about underemployment?**

✔ ANSWER

- Underemployed people work below their potential, so their labour is wasted.

- Their income is low, which keeps families poor.
- It is hidden (disguised), so it is not easily noticed or solved.
- The country loses production it could have got if these people did productive work elsewhere.

So we must create more jobs to use these people's labour fully.

🤔 Think · How to Create More Employment?

? What groups of people do you think are unemployed or underemployed in your area? Can you think of some measures that could be taken up for them?

💡 SAMPLE ANSWER

Groups (sample): small farmers and farm labourers who have work only in some seasons; daily wage labourers, painters, plumbers and repair persons who do not get work every day; street vendors and cart pushers who earn very little; educated youth without jobs.

Measures:

- Irrigation (wells, canals) so farmers can grow a second crop.
- Cheap credit from banks and better rural roads, transport and storage.
- Small industries and services in semi-rural areas, such as a dal mill, cold storage, honey collection centre, food processing.
- Jobs in education, health and tourism; skill training for youth.

- Work under the government's rural employment guarantee scheme.

⭐ Let's Work These Out · Right to Work

1 **Why do you think MGNREGA 2005 or Viksit Bharat-G RAM G 2025 is referred to as 'Right to work'?**

✔ ANSWER

- Under the law, every person in rural areas who is able to work and needs work is **guaranteed** 100 days of employment in a year by the government (MGNREGA 2005).
- If the government fails to give work, it has to pay an unemployment allowance.
- Since work is given as a legal right that people can demand, it is called the 'Right to work'.

2 **Imagine that you are the village head. Suggest some activities that should be taken up under this Act that would also increase the income of people. Discuss.**

💡 SAMPLE ANSWER

- Digging and repairing wells, ponds and small check dams for irrigation and water harvesting.
- Digging canals and field channels.
- Building rural roads to connect fields to markets.
- Planting trees and preventing soil erosion.
- Levelling and improving land so it gives more crops.

These give work now and also increase production from land in future, so people's incomes rise.

3 **How would income and employment increase if farmers were provided with irrigation and marketing facilities?**

✔ ANSWER

- **Irrigation:** farmers can grow a second crop (e.g. wheat in rabi season). More family members get work on their own land, so underemployment falls and income rises.
- New dams and canals irrigate many farms, creating a lot of employment within agriculture.
- **Marketing:** with good roads, transport and storage, farmers can sell their larger produce in towns at good prices.
- This also gives jobs to others in transport and trade.

4 **In what ways can employment be increased in urban areas?**

💡 SAMPLE ANSWER

- Setting up more industries, including small-scale industries, with government support for raw material and marketing.
- Expanding services such as IT, tourism, transport, trade and banking.
- More schools and hospitals, which need more teachers, doctors and nurses.
- Skill training for youth and cheap loans to start their own work.

- Government spending on housing, roads and other public works.

💬 Discuss · Division of Sectors as Organised and Unorganised

? **Do you see the differences in the conditions of work between Kanta and Kamal?**

✔ ANSWER

Kanta (organised sector)	Kamal (unorganised sector)
Fixed hours: 9.30 a.m. to 5.30 p.m.	Long hours: 7.30 a.m. to 8 p.m.
Regular monthly salary	Daily wages only
Provident fund, medical and other allowances	No other allowances
Paid holiday on Sundays	Not paid for days he does not work; no leave
Appointment letter with terms of work	No formal letter
Secure job	Can be asked to leave anytime

⭐ Let's Work These Out · Organised and Unorganised Sectors

1 **Which of these are unorganised sector activities?**

(i) A teacher taking classes in a school

(ii) A headload worker carrying a bag of cement on his back in a market

(iii) A farmer irrigating her field

(iv) A doctor in a hospital treating a patient

(v) A daily wage labourer working under a contractor

(vi) A factory worker going to work in a big factory

(vii) A handloom weaver working in her house

✔ ANSWER

Unorganised: **(ii)** headload worker, **(iii)** farmer, **(v)** daily wage labourer, **(vii)** handloom weaver.

(i), (iv) and (vi) are organised sector activities (a school, hospital or big factory registered with the government).

2 **Talk to someone who has a regular job in the organised sector and another who works in the unorganised sector. Compare and contrast their working conditions in all aspects.**

💡 SAMPLE ANSWER

Sample: a bank clerk (organised) and a construction worker (unorganised).

Aspect	Bank clerk	Construction worker
Job security	Secure, appointment letter	Can be removed anytime
Working hours	Fixed; overtime paid	Long; no overtime
Pay	Regular monthly salary	Low daily wage, not regular
Leave and holidays	Paid leave, holidays	No paid leave
Benefits	Provident fund, medical, pension	None

Safety	Safe workplace	Unsafe, no protection

3 **How would you distinguish between organised and unorganised sectors? Explain in your own words.**

✔ ANSWER

- **Organised sector:** enterprises registered with the government that follow its rules and laws (e.g. Factories Act, Minimum Wages Act). Jobs are regular and secure, with fixed hours, overtime pay, paid leave, provident fund, medical benefits and pension.
- **Unorganised sector:** small, scattered units largely outside government control. Rules exist but are not followed. Jobs are low-paid, not regular and not secure; there is no paid leave or other benefit, and workers can be asked to leave anytime.

4 **Table 2.3: Workers in different sectors (in millions), late 1990s. Fill in the missing data and answer the questions.**

Primary: organised 1, total 232. Secondary: 41, 74, 115. Tertiary: 40, 88, 128. Total organised 82.

• What is the percentage of people in the unorganised sector in agriculture?

• Do you agree that agriculture is an unorganised sector activity? Why?

• ___% of the workers in India are in the unorganised sector. Organised sector

employment is available to only about ___% of the workers.

✔ ANSWER

Sector	Organised	Unorganised	Total
Primary	1	**231**	232
Secondary	41	74	115
Tertiary	40	88	128
Total	82	**393**	**475**
Total in percentage	**17.3%**	**82.7%**	100%

- Unorganised workers in agriculture = 231 ÷ 232 × 100 = **about 99.6%**.
- **Yes**, agriculture is an unorganised sector activity: almost all farmers and farm labourers work on their own or for daily wages, without registration, regular pay, fixed hours, paid leave or job security.
- About **83%** of the workers in India are in the unorganised sector. Organised sector employment is available to only about **17%** of the workers.

⭐ Let's Recall · Table 2.4 Classifying Economic Activities

? **What was the most important conclusion derived from the classification exercises? What were the problems and solutions indicated? Summarise the information in Table 2.4.**

💡 SAMPLE ANSWER

Sector	Criteria used	Most important conclusion	Problems indicated and how they can be tackled
Primary, Secondary, Tertiary	Nature of activity	Tertiary sector is now the largest producer, but the primary sector is still the largest employer	Underemployment in agriculture; tackle by irrigation, cheap credit, rural roads and storage, industries in semi-rural areas, jobs in education, health, tourism, and the right to work law
Organised, Unorganised	Employment conditions	Most workers are in the unorganised sector	Low, irregular pay, no job security or benefits, exploitation; tackle by protecting workers through laws on wages, safety and health and support for small farmers and small industries

Exercises

1 **Fill in the blanks using the correct option:**
(i) Employment in the service sector ___ increased to the same extent as production. (has / has not)
(ii) Workers in the ___ sector do not produce goods. (tertiary / agricultural)

(iii) Most of the workers in the ___ sector enjoy job security. (organised / unorganised)

(iv) A ___ proportion of labourers in India are working in the unorganised sector. (large / small)

(v) Cotton is a ___ product and cloth is a ___ product. [natural / manufactured]

(vi) The activities in primary, secondary and tertiary sectors are ___ [independent / interdependent]

✔ ANSWER

(i) **has not**

(ii) **tertiary**

(iii) **organised**

(iv) **large**

(v) **natural**; **manufactured**

(vi) **interdependent**

2 (a) **The sectors are classified into public and private sector on the basis of:**

(i) employment conditions (ii) the nature of economic activity (iii) ownership of enterprises (iv) number of workers employed in the enterprise

✔ ANSWER

(iii) ownership of enterprises. Government-owned = public sector; owned by individuals or companies = private sector.

2 (b) **Production of a commodity, mostly through the natural process, is an activity in ___ sector.**

(i) primary (ii) secondary (iii) tertiary (iv) information technology

✔ ANSWER

(i) primary. Goods produced by directly using natural resources belong to the primary sector.

2 (c) **GDP is the total value of ___ produced during a particular year.**

(i) all goods and services (ii) all final goods and services (iii) all intermediate goods and services (iv) all intermediate and final goods and services

✔ ANSWER

(ii) all final goods and services. Counting intermediate goods too would count the same value many times.

2 (d) **In terms of GVA the share of tertiary sector in 2017–18 is between ___ per cent.**

(i) 20 to 30 (ii) 30 to 40 (iii) 50 to 60 (iv) 60 to 70

✔ ANSWER

(iii) 50 to 60. Graph 2 shows the tertiary share in 2017–18 at a little over 50%.

3 **Match the following:**

Problems: 1. Unirrigated land 2. Low prices for crops 3. Debt burden 4. No job in the off season 5. Compelled to sell their grains to the local traders soon after harvest

Measures: (a) Setting up agro-based mills (b) Cooperative marketing societies (c) Procurement of food grains by government (d) Construction of canals by the government (e) Banks to provide credit with low interest

✔ ANSWER

Problem	Measure
1. Unirrigated land	(d) Construction of canals by the government
2. Low prices for crops	(c) Procurement of food grains by government
3. Debt burden	(e) Banks to provide credit with low interest
4. No job in the off season	(a) Setting up agro-based mills
5. Compelled to sell grains to local traders soon after harvest	(b) Cooperative marketing societies

4 **Find the odd one out and say why.**

(i) Tourist guide, dhobi, tailor, potter, farmer

(ii) Teacher, doctor, vegetable vendor, lawyer

(iii) Postman, cobbler, soldier, police constable

(iv) MTNL, Indian Railways, Air India, All India Radio

💡 SAMPLE ANSWER

(i) **Farmer**: the only one in the primary sector, producing goods directly from nature. The others (tourist guide, dhobi, tailor, potter) work in the secondary or tertiary sector.

(ii) **Vegetable vendor**: works in the unorganised sector and needs no professional training; the others are trained professionals.

(iii) **Cobbler**: works on his own in the private, unorganised sector; the others are government (public sector) employees.

(iv) **Air India**: it is now a private company (sold to the Tata group in 2022); MTNL, Indian Railways and All India Radio are owned by the government (public sector).

5 **A research scholar looked at the working people in the city of Surat and found the following. Complete the table. What is the percentage of workers in the unorganised sector in this city?**

Place of work	Nature of employment	Percentage of working people
In offices and factories registered with the government	Organised	15
Own shops, office, clinics in marketplaces with formal license	—	15
People working on the street, construction workers, domestic workers	—	20
Working in small workshops usually not registered with the government	—	—

✔ **ANSWER**

Place of work	Nature of employment	Percentage
Offices and factories registered with the government	Organised	15
Own shops, office, clinics with formal license	**Organised**	15
Street workers, construction workers, domestic workers	**Unorganised**	20
Small workshops not registered with the government	**Unorganised**	**50** (100 − 15 − 15 − 20)

Workers in the unorganised sector = 20 + 50 = **70%**.

6 **Do you think the classification of economic activities into primary, secondary and tertiary is useful? Explain how.**

✔ ANSWER

Yes, it is useful.

- It groups thousands of activities by their nature, so the economy is easier to understand.
- It shows how much each sector produces (GVA) and how many people it employs.
- It shows changes over time, e.g. in India the tertiary sector became the largest producer.
- It shows problems, e.g. most workers are still in agriculture though it produces only about one-sixth of GVA (underemployment).
- It helps the government plan, e.g. where to create jobs and how to support farmers.

- It shows that the sectors are interdependent.

So this classification helps us analyse the economy and find solutions.

7 **For each of the sectors that we came across in this chapter, why should one focus on employment and GVA? Could there be other issues which should be examined? Discuss.**

💡 SAMPLE ANSWER

Why employment and GVA:

- GVA shows how much each sector produces and how big the economy is.
- Employment shows how many people get work and income from each sector.
- Comparing the two shows problems such as underemployment: agriculture employs about half the workers but produces about one-sixth of GVA.

Other issues to examine:

- Income and wages of workers; working conditions, job security and safety.
- Fair distribution of income; social discrimination against weaker groups.
- Effect on the environment and use of natural resources.
- Education, health and skills of workers; regional balance.

So along with GVA and employment, the quality of jobs and people's well-being must also be studied.

8 **Make a long list of all kinds of work that you find adults around you doing for a living. In what way**

can you classify them? Explain your choice.

💡 SAMPLE ANSWER

Sample list: farmer, dairy owner, fisherman, carpenter, tailor, factory worker, mason, shopkeeper, teacher, doctor, bank clerk, bus driver, auto driver, street vendor, domestic worker, police constable, electrician.

Classification by nature of activity:

Primary	Secondary	Tertiary
Farmer, dairy owner, fisherman	Carpenter, tailor, factory worker, mason	Shopkeeper, teacher, doctor, bank clerk, drivers, street vendor, domestic worker, police constable, electrician

They can also be classified as **organised** (teacher in a government school, bank clerk, police constable) and **unorganised** (street vendor, domestic worker, mason), or as **public** and **private** sector.

I chose 'nature of activity' because it shows clearly which work uses nature, which makes goods and which gives services.

9 **How is the tertiary sector different from other sectors? Illustrate with a few examples.**

✔ ANSWER

- Primary and secondary sectors **produce goods**; the tertiary sector does not produce goods, it **gives services**.

- These services help the development of primary and secondary sectors. Example: trucks and trains transport goods, godowns store them, shops sell them, banks lend money, telephones help communication.
- It also includes essential services that may not directly help production, such as teachers, doctors, barbers, washermen, lawyers.
- New IT-based services like ATM booths, call centres and software companies are also part of it.

So it is also called the **service sector**.

10 **What do you understand by disguised unemployment? Explain with an example each from the urban and rural areas.**

✔ ANSWER

Disguised unemployment is a situation where people seem to be working, but all of them work less than their potential. If some of them are removed, production does not fall. It is hidden, so it is called disguised.

- **Rural example:** Laxmi, a small farmer, has two hectares of unirrigated land. All five family members work on it, though fewer people are needed. If two of them move out, production does not fall.
- **Urban example:** casual workers like painters, plumbers and repair persons search for daily work but do not find it every day; a street vendor pushing a cart spends the whole day but earns very little.

11 **Distinguish between open unemployment and disguised unemployment.**

✔ ANSWER

Open unemployment	Disguised unemployment
A person has no job at all.	A person seems to be working but works below his or her potential.
It is clearly visible.	It is hidden.
Found more in industry and towns, among those seeking jobs.	Found mostly in agriculture (also among casual workers in towns).
Example: an educated youth with no job.	Example: five family members working on a small farm that needs only three.

12 **"Tertiary sector is not playing any significant role in the development of Indian economy." Do you agree? Give reasons in support of your answer.**

✔ ANSWER

No, I do not agree. The tertiary sector plays a very important role:

- It has become the **largest producing sector**, with more than half of India's GVA (2017–18).
- Its production grew the most, about 14 times over forty years; employment in it rose about five times.
- It provides basic services like hospitals, schools, post, police, courts, banks and transport.
- Transport, storage, trade and banking help agriculture and industry to develop.

- New IT and communication services have grown fast and give jobs to skilled people.

However, not all of it is growing equally: many service workers (small shopkeepers, repair persons) barely earn a living. Still, overall, the sector is a major driver of India's development.

13 **Service sector in India employs two different kinds of people. Who are these?**

✔ ANSWER

- **Highly skilled and educated workers** in a limited number of services, e.g. software, banking, professional jobs.
- **A very large number of workers** in services such as small shopkeepers, repair persons and transport persons, who barely manage to earn a living and do this work because no other work is available.

14 **Workers are exploited in the unorganised sector. Do you agree with this view? Give reasons in support of your answer.**

✔ ANSWER

Yes, I agree, because:

- Wages are low and often not regular; workers are not paid a fair wage.
- There is no overtime pay, paid leave, holidays or leave for sickness.
- Jobs are not secure; workers can be asked to leave without any reason, e.g. in the off season.
- No provident fund, medical benefits or pension.

- Rules exist but are not followed, and much depends on the whims of the employer.
- Many workers from scheduled castes, tribes and backward communities also face social discrimination.

So these workers need protection and support.

15 **How are the activities in the economy classified on the basis of employment conditions?**

✔ ANSWER

On the basis of employment conditions, activities are classified into:

- **Organised sector:** enterprises registered with the government that follow its rules (Factories Act, Minimum Wages Act, Payment of Gratuity Act, Shops and Establishments Act). Employment is regular and secure, with fixed hours and benefits.
- **Unorganised sector:** small, scattered units largely outside government control. Jobs are low-paid, irregular and not secure, without benefits.

16 **Compare the employment conditions prevailing in the organised and unorganised sectors.**

✔ ANSWER

Organised sector	Unorganised sector
Regular and secure jobs; appointment letter	Jobs not secure; can be asked to leave anytime
Fixed working hours; overtime paid	Long hours; no overtime

Regular, fair salary	Low and irregular wages
Paid leave, holidays, sick leave	No paid leave or holidays
Provident fund, gratuity, medical benefits, pension	No such benefits
Safe working environment, drinking water (by law)	Rules not followed; often unsafe

17 **Explain the objective of implementing the MGNREGA 2005 or Viksit Bharat-G RAM G 2025.**

✔ ANSWER

- To give a **Right to Work**: all who are able to, and need, work in rural areas were guaranteed **100 days of employment in a year** by the government (MGNREGA 2005).
- To reduce unemployment and underemployment quickly in the short term.
- To protect people through **unemployment allowance** if the government fails to give work.
- To give preference to work that would increase production from land in future, raising incomes.
- In 2025 the Act was replaced by Viksit Bharat-Guarantee for Rozgar and Ajeevika Mission (Viksit Bharat-G RAM G 2025).

18 **Using examples from your area, compare and contrast the activities and functions of private and public sectors.**

💡 SAMPLE ANSWER

Sample (examples will differ by area):

Public sector	Private sector

Owned by the government, e.g. government school, government hospital, railway station, post office	Owned by individuals or companies, e.g. private school, private hospital, shops, mobile phone company
Aim: welfare of people, not only profit	Aim: to earn profit
Services free or at low cost	Services usually charged at a higher rate
Money comes from taxes	Money comes from owners and sales

Both give jobs and services; the public sector also provides things the private sector will not provide at a reasonable cost (roads, bridges, electricity, irrigation).

19 **Discuss and fill the following table giving one example each from your area.**

	Well managed organisation	Badly managed organisation
Public sector		
Private sector		

💡 **SAMPLE ANSWER**

Sample answer (choose examples from your own area):

	Well managed organisation	Badly managed organisation
Public sector	Metro rail / the local post office	A government hospital with long queues and few doctors

Private sector	A well-run private bank	A small private bus operator with old, unsafe buses

20 **Give a few examples of public sector activities and explain why the government has taken them up.**

✔ ANSWER

Examples: roads, bridges, railways, harbours; electricity; irrigation through dams; buying wheat and rice at a fair price and selling through ration shops; health and education for all; safe drinking water and housing for the poor.

Why the government takes them up:

- They need large sums of money, beyond the capacity of the private sector; collecting money from thousands of users is also hard, and private firms would charge high rates.
- Some activities need support: e.g. cheap electricity helps small-scale industries survive; buying grains at a fair price supports both farmers and consumers.
- Health and education for all are the government's primary duty (e.g. high infant mortality, large illiterate population).
- To develop the poorest and most ignored regions.

21 **Explain how public sector contributes to the economic development of a nation.**

✔ ANSWER

The public sector helps development in many ways:

- **Infrastructure:** builds roads, bridges, railways, harbours, dams and power plants that the private sector cannot afford.
- **Support to industry:** supplies electricity at affordable rates so small units do not close.
- **Support to farmers and consumers:** buys grains at a fair price and sells them cheaply in ration shops.
- **Human development:** provides schools, hospitals, drinking water, housing and nutrition.
- **Employment:** creates jobs, e.g. through the rural employment guarantee law.
- **Balanced growth:** spends more in backward regions.

Thus it aims at the welfare of all, not only profit, and helps both economic and social development.

22 **The workers in the unorganised sector need protection on the following issues: wages, safety and health. Explain with examples.**

✔ ANSWER

- **Wages:** workers are paid low and irregular wages and are often exploited. Example: a daily wage worker in a shop or construction site gets less than the minimum wage and nothing on days without work. They need fair minimum wages paid regularly.
- **Safety:** there is no provision for a safe working environment. Example: a construction worker or headload worker works without helmets or safety equipment. Safety rules must be followed and accident compensation given.

- **Health:** there is no sick leave or medical benefit. Example: a garment worker or rag picker who falls ill loses wages and must pay for treatment. They need medical facilities, sick leave and health insurance.

The government should make laws, check that they are followed, and give special support to such workers.

23 **A study in Ahmedabad found that out of 15,00,000 workers in the city, 11,00,000 worked in the unorganised sector. The total income of the city in 1997–98 was Rs 60,000 million, of which Rs 32,000 million was generated in the organised sector. Present this data as a table. What kind of ways should be thought of for generating more employment in the city?**

✔ ANSWER

Sector	Workers	Income (Rs million)
Organised	4,00,000 (about 27%)	32,000 (about 53%)
Unorganised	11,00,000 (about 73%)	28,000 (about 47%)
Total	15,00,000	60,000

The unorganised sector employs almost three-fourths of the workers but earns less than half the income.

Ways to generate more employment:

- Help small-scale industries with cheap credit, raw material and marketing.

- Promote new services such as IT, tourism, trade and transport.
- Build more schools and hospitals (jobs for teachers, doctors, nurses).
- Skill training for youth; government spending on housing and public works.
- Protect unorganised workers so their jobs become better paid and secure.

24 **The following table gives the GVA in Rupees (crores) by the three sectors:**

Year	Primary	Secondary	Tertiary
2001-02	13,23,000	10,40,000	19,31,000
2021-22	24,79,400	40,73,000	73,25,000

(i) Calculate the share of the three sectors in GDP for 2000 and 2013. (ii) Show the data as a bar diagram similar to Graph 2. (iii) What conclusions can we draw from the bar graph?

✔ ANSWER

(The question says '2000 and 2013', but the table gives 2001-02 and 2021-22, so we use these years.)

(i) Share = sector GVA ÷ total GVA × 100.

Total 2001-02 = 13,23,000 + 10,40,000 + 19,31,000 = **42,94,000** crore.

Total 2021-22 = 24,79,400 + 40,73,000 + 73,25,000 = **1,38,77,400** crore.

Year	Primary	Secondary	Tertiary
2001-02	30.8%	24.2%	45.0%
2021-22	17.9%	29.3%	52.8%

(ii) Draw two bars of height 100 (one for 2001-02, one for 2021-22). In each bar, colour the bottom part for the primary share, the middle part for secondary and the top part for tertiary, using the percentages above (like Graph 2).

(iii) Conclusions:

- The tertiary sector is the largest in both years and its share has risen to more than half of GVA.
- The share of the primary sector has fallen sharply (about 31% to 18%).
- The share of the secondary sector has risen a little (about 24% to 29%).
- Production in all sectors grew, but the economy is shifting towards services.

🎉 **Chapter 2 done! Revise the answers once more tomorrow.**